

SFRS for Small Entities

Illustrative Financial Statements
Table of Presentation and
Disclosure Requirements

CONTENTS

from page

SINGAPORE FINANCIAL REPORTING STANDARD FOR SMALL ENTITIES

ILLUSTRATIVE FINANCIAL STATEMENTS	4
TABLE OF PRESENTATION AND DISCLOSURE REQUIREMENTS BY SECTION	21
Section	
1 <i>Small Entities</i>	21
2 <i>Concepts and Pervasive Principles</i>	21
3 <i>Financial Statement Presentation</i>	21
4 <i>Statement of Financial Position</i>	25
5 <i>Statement of Comprehensive Income and Income Statement</i>	28
6 <i>Statement of Changes in Equity and Statement of Income and Retained Earnings</i>	30
7 <i>Statement of Cash Flows</i>	30
8 <i>Notes to the Financial Statements</i>	32
9 <i>Consolidated and Separate Financial Statements</i>	33
10 <i>Accounting Policies, Estimates and Errors</i>	35
11 <i>Basic Financial Instruments</i>	36
12 <i>Other Financial Instrument Issues</i>	38
13 <i>Inventories</i>	39
14 <i>Investments in Associates</i>	40
15 <i>Investments in Joint Ventures</i>	40
16 <i>Investment Property</i>	41
17 <i>Property, Plant and Equipment</i>	42
18 <i>Intangible Assets other than Goodwill</i>	43
19 <i>Business Combinations and Goodwill</i>	44
20 <i>Leases</i>	45
21 <i>Provisions and Contingencies</i>	47
22 <i>Liabilities and Equity</i>	48

SFRS for Small Entities - Illustrative Financial Statements, Table of Presentation
and Disclosure Requirements

23	<i>Revenue</i>	48
24	<i>Government Grants</i>	49
25	<i>Borrowing Costs</i>	49
26	<i>Share-based Payment</i>	50
27	<i>Impairment of Assets</i>	51
28	<i>Employee Benefits</i>	51
29	<i>Income Tax</i>	53
30	<i>Foreign Currency Translation</i>	55
31	<i>Hyperinflation</i>	55
32	<i>Events after the End of the Reporting Period</i>	56
33	<i>Related Party Disclosures</i>	57
34	<i>Specialised Activities</i>	59
35	<i>Transition to the SFRS for Small Entities</i>	60
	Effective Date and transition	61

Singapore Financial Reporting Standard for Small Entities

Illustrative Financial Statements and Table of Presentation and Disclosure Requirements

This guidance accompanies, but is not part of, the Singapore Financial Reporting Standard for Small Entities (SFRS for Small Entities).

Illustrative financial statements

- F1 Section 3 *Financial Statement Presentation* of the *SFRS for Small Entities* defines a complete set of financial statements and prescribes general standards of financial statement presentation. Sections 4 *Statement of Financial Position*, Section 5 *Statement of Comprehensive Income and Income Statement*, Section 6 *Statement of Changes in Equity and Statement of Income and Retained Earnings*, Section 7 *Statement of Cash Flows* and Section 8 *Notes to the Financial Statements* prescribe the format and content of the individual financial statements and notes. Other sections of the *SFRS for Small Entities* establish additional presentation and disclosure requirements. The following financial statements illustrate how those presentation and disclosure requirements might be met by a typical small entity. Of course, each entity will need to consider the content, sequencing and format of presentation and the descriptions used for line items to achieve a fair presentation in that entity's particular circumstances. These illustrative financial statements should not be regarded as a template appropriate for all entities.
- F2 The illustrative statement of financial position presents current assets followed by non-current assets, and presents current liabilities followed by non-current liabilities and then by equity (ie most liquid items first). In some jurisdictions, the sequencing is typically reversed (ie most liquid items last), and that is also permitted by the *SFRS for Small Entities*. Consistently with paragraph 3.22 of the *SFRS for Small Entities*, an entity may use titles for the financial statements other than those used in these illustrations.
- F3 In accordance with paragraph 3.18, the illustrative financial statements present a single statement of comprehensive income and retained earnings in place of two separate statements—a statement of comprehensive income and a statement of changes in equity. This may be done if the only changes to the equity of an entity during the periods for which financial statements are presented arise from profit or loss, payment of dividends, corrections of prior period errors and changes in accounting policy. (Because there are no items of other comprehensive income, this statement could have been titled statement of income and retained earnings.) Two statements of comprehensive income and retained earnings are provided to illustrate the alternative classifications of income and expenses, by nature and by function—see paragraph 5.11 of the *SFRS for Small Entities*.
- F4 The illustrative financial statements are not intended to illustrate all aspects of the *SFRS for Small Entities*.
- F5 The *SFRS for Small Entities* does not require a statement of financial position at the beginning of the earliest comparative period. The following illustrative statement of financial position only includes a column for the opening statement of financial position to aid in understanding of the calculations underlying amounts in the statement of cash flows.

XYZ Group

Consolidated statement of comprehensive income and retained earnings for the year ended 31 December 20X2

(Alternative 1 – illustrating the classification of expenses by function)

	Notes	20X2 CU	20X1 CU
Revenue	5	6,863,545	5,808,653
Cost of sales		(5,178,530)	(4,422,575)
Gross profit		1,685,015	1,386,078
Other income	6	88,850	25,000
Distribution costs		(175,550)	(156,800)
Administrative expenses		(810,230)	(660,389)
Other expenses		(106,763)	(100,030)
Finance costs	7	(26,366)	(36,712)
Profit before tax	8	654,956	457,147
Income tax expense	9	(270,250)	(189,559)
Profit for the year		384,706	267,588
Retained earnings at start of year		2,171,353	2,003,765
Dividends		(150,000)	(100,000)
Retained earnings at end of year		2,406,059	2,171,353

Note: The format illustrated above aggregates expenses according to their function (cost of sales, distribution, administrative etc). As the only changes to XYZ Group's equity during the year arose from profit or loss and payment of dividends, it has elected to present a single statement of comprehensive income and retained earnings instead of separate statements of comprehensive income and changes in equity.

XYZ Group

Consolidated statement of comprehensive income and retained earnings for the year ended 31 December 20X2

(Alternative 2 – illustrating the classification of expenses by nature)

	Notes	20X2 CU	20X1 CU
Revenue	5	6,863,545	5,808,653
Other income	6	88,850	25,000
Changes in inventories of finished goods and work in progress		3,310	(1,360)
Raw material and consumables used		(4,786,699)	(4,092,185)
Employee salaries and benefits		(936,142)	(879,900)
Depreciation and amortisation expense		(272,060)	(221,247)
Impairment of property, plant and equipment		(30,000)	–
Other expenses		(249,482)	(145,102)
Finance costs	7	(26,366)	(36,712)
Profit before tax	8	654,956	457,147
Income tax expense	9	(270,250)	(189,559)
Profit for the year		384,706	267,588
Retained earnings at start of year		2,171,353	2,003,765
Dividends		(150,000)	(100,000)
Retained earnings at end of year		2,406,059	2,171,353

Note: The format illustrated above aggregates expenses according to their nature (raw materials and consumables, employee salaries and benefits, depreciation and amortisation, impairment etc). As the only changes to XYZ Group's equity during the year arose from profit or loss and payment of dividends, it has elected to present a single statement of comprehensive income and retained earnings instead of separate statements of comprehensive income and changes in equity.

XYZ Group

Consolidated statement of financial position at 31 December 20X2

	Notes	20X2 CU	20X1 CU	20X0 CU
ASSETS				
Current assets				
Cash		28,700	22,075	18,478
Trade and other receivables	10	585,548	573,862	521,234
Inventories	11	57,381	47,920	45,050
		<u>671,629</u>	<u>643,857</u>	<u>584,762</u>
Non-current assets				
Investment in associate	12	107,500	107,500	107,500
Property, plant and equipment	13	2,549,945	2,401,455	2,186,002
Intangible assets	14	850	2,550	4,250
Deferred tax asset	15	4,309	2,912	2,155
		<u>2,662,604</u>	<u>2,514,417</u>	<u>2,299,907</u>
Total assets		<u>3,334,233</u>	<u>3,158,274</u>	<u>2,884,669</u>
LIABILITIES AND EQUITY				
Current liabilities				
Bank overdraft	16	83,600	115,507	20,435
Trade payables	17	431,480	420,520	412,690
Interest payable	7	2,000	1,200	-
Current tax liability		271,647	190,316	173,211
Provision for warranty obligations	18	4,200	5,040	2,000
Current portion of employee benefit obligation	19	4,944	4,754	4,571
Current portion of obligations under finance leases	20	21,461	19,884	18,423
		<u>819,332</u>	<u>757,221</u>	<u>631,330</u>

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XYZ Group

Consolidated statement of financial position at 31 December 20X2

	Notes	20X2 CU	20X1 CU	20X0 CU
Non-current liabilities				
Bank loan	16	50,000	150,000	150,000
Long term employee benefit obligations	19	5,679	5,076	5,066
Obligations under finance leases	20	23,163	44,624	64,508
		<u>78,842</u>	<u>199,700</u>	<u>219,574</u>
Total liabilities		<u>898,174</u>	<u>956,921</u>	<u>850,904</u>
Equity				
Share capital	22	30,000	30,000	30,000
Retained earnings	4	2,406,059	2,171,353	2,003,765
		<u>2,436,059</u>	<u>2,201,353</u>	<u>2,033,765</u>
Total liabilities and equity		<u>3,334,233</u>	<u>3,158,274</u>	<u>2,884,669</u>

Note: The *SFRS for Small Entities* does not require a statement of financial position at the beginning of the earliest comparative period—hence the shading. It is presented here to aid understanding of the calculations underlying amounts in the statement of cash flows.

XYZ Group

Consolidated statement of cash flows for the year ended 31 December 20X2

	Notes	20X2 CU	20X1 CU
Cash flows from operating activities			
Profit for the year		384,706	267,588
Adjustments for non-cash income and expenses:			
Non-cash finance costs (a)		800	1,200
Non-cash income tax expense (b)		79,934	16,348
Depreciation of property, plant and equipment		270,360	219,547
Impairment loss		30,000	–
Amortisation of intangibles		1,700	1,700
Cash flow included in investing activities:			
Gain on sale of equipment		(63,850)	–
Changes in operating assets and liabilities			
Decrease (increase) in trade and other receivables		(11,686)	(52,628)
Decrease (increase) in inventories		(9,461)	(2,870)
Increase (decrease) in trade payables (c)		10,120	10,870
Increase in current and long-term employee benefit payable		793	193
<i>Net cash from operating activities</i>		693,416	461,948
Cash flows from investing activities			
Proceeds from sale of equipment		100,000	–
Purchases of equipment		(485,000)	(435,000)
<i>Net cash used in investing activities</i>		(385,000)	(435,000)
Cash flows from financing activities			
Payment of finance lease liabilities		(19,884)	(18,423)
Repayment of borrowings		(100,000)	–
Dividends paid		(150,000)	(100,000)
<i>Net cash used in financing activities</i>		(269,884)	(118,423)
Net increase (decrease) in cash and cash equivalents		38,532	(91,475)
Cash and cash equivalents at beginning of year		(93,432)	(1,957)
Cash and cash equivalents at end of year	23	(54,900)	(93,432)
(a) Finance costs paid in cash		25,566	35,512
(b) Income taxes paid in cash		190,316	173,211
(c) Includes unrealised foreign exchange loss		1,000	–

XYZ Group

Accounting policies and explanatory notes to the financial statements for the year ended 31 December 20X2

1. General information

XYZ (Holdings) Limited (the Company) is a limited company incorporated in A Land. The address of its registered office and principal place of business is _____. XYZ Group consists of the Company and its wholly-owned subsidiary XYZ (Trading) Limited. Their principal activities are the manufacture and sale of candles.

2. Basis of preparation and accounting policies

These consolidated financial statements have been prepared in accordance with the *Singapore Financial Reporting Standard for Small Entities* issued by the Accounting Standards Council. They are presented in the currency units (CU) of A Land.

Basis of consolidation

The consolidated financial statements incorporate the financial statements of the Company and its wholly-owned subsidiary. All intragroup transactions, balances, income and expenses are eliminated.

Investments in associates

Investments in associates are accounted for at cost less any accumulated impairment losses.

Dividend income from investments in associates is recognised when the Group's right to receive payment has been established. It is included in other income.

Revenue recognition

Revenue from sales of goods is recognised when the goods are delivered and title has passed. Royalty revenue from licensing candle-making patents for use by others is recognised in accordance with the relevant licence agreements. Revenue is measured at the fair value of the consideration received or receivable, net of discounts and sales-related taxes collected on behalf of the government of A Land.

Borrowing costs

All borrowing costs are recognised in profit or loss in the period in which they are incurred.

Income tax

Income tax expense represents the sum of the tax currently payable and deferred tax.

The tax currently payable is based on taxable profit for the year.

Deferred tax is recognised on differences between the carrying amounts of assets and liabilities in the financial statements and their corresponding tax bases (known as temporary differences). Deferred tax liabilities are generally recognised for all temporary differences that will result in taxable amounts in determining taxable profit (tax loss) of future periods when the carrying amount of the asset or liability is recovered or settled (taxable temporary differences). Deferred tax assets are generally recognised for all temporary differences that will result in amounts that are deductible in determining taxable profit (tax loss) of future periods when the carrying amount of the asset or liability is recovered or settled (deductible temporary differences) – but only to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised.

SFRS for Small Entities - Illustrative Financial Statements, Table of Presentation
and Disclosure Requirements

The carrying amount of deferred tax assets is reviewed at each reporting date and is adjusted to reflect the current assessment of future taxable profits. Any adjustments are recognised in profit or loss.

Deferred tax is calculated at the tax rates that are expected to apply to the taxable profit (tax loss) of the periods in which it expects the deferred tax asset to be realised or the deferred tax liability to be settled, on the basis of tax rates that have been enacted or substantively enacted by the end of the reporting period.

Property, plant and equipment

Items of property, plant and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses.

Depreciation is charged so as to allocate the cost of assets less their residual values over their estimated useful lives, using the straight-line method. The following annual rates are used for the depreciation of property, plant and equipment:

Buildings	2 per cent
Fixtures and equipment	10–30 per cent

If there is an indication that there has been a significant change in depreciation rate, useful life or residual value of an asset, the depreciation of that asset is revised prospectively to reflect the new expectations.

Intangible assets

Intangible assets are purchased computer software that is stated at cost less accumulated depreciation and any accumulated impairment losses. It is amortised over its estimated life of five years using the straight-line method. If there is an indication that there has been a significant change in amortisation rate, useful life or residual value of an intangible asset, the amortisation is revised prospectively to reflect the new expectations.

Impairment of assets

At each reporting date, property, plant and equipment, intangible assets, and investments in associates are reviewed to determine whether there is any indication that those assets have suffered an impairment loss. If there is an indication of possible impairment, the recoverable amount of any affected asset (or group of related assets) is estimated and compared with its carrying amount. If estimated recoverable amount is lower, the carrying amount is reduced to its estimated recoverable amount, and an impairment loss is recognised immediately in profit or loss.

Similarly, at each reporting date, inventories are assessed for impairment by comparing the carrying amount of each item of inventory (or group of similar items) with its selling price less costs to complete and sell. If an item of inventory (or group of similar items) is impaired, its carrying amount is reduced to selling price less costs to complete and sell, and an impairment loss is recognised immediately in profit or loss.

If an impairment loss subsequently reverses, the carrying amount of the asset (or group of related assets) is increased to the revised estimate of its recoverable amount (selling price less costs to complete and sell, in the case of inventories), but not in excess of the amount that would have been determined had no impairment loss been recognised for the asset (group of related assets) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss.

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership of the leased asset to the Group. All other leases are classified as operating leases.

SFRS for Small Entities - Illustrative Financial Statements, Table of Presentation
and Disclosure Requirements

Rights to assets held under finance leases are recognised as assets of the Group at the fair value of the leased property (or, if lower, the present value of minimum lease payments) at the inception of the lease. The corresponding liability to the lessor is included in the statement of financial position as a finance lease obligation. Lease payments are apportioned between finance charges and reduction of the lease obligation so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are deducted in measuring profit or loss. Assets held under finance leases are included in property, plant and equipment, and depreciated and assessed for impairment losses in the same way as owned assets.

Rentals payable under operating leases are charged to profit or loss on a straight-line basis over the term of the relevant lease.

Inventories

Inventories are stated at the lower of cost and selling price less costs to complete and sell. Cost is calculated using the first-in, first-out (FIFO) method.

Trade and other receivables

Most sales are made on the basis of normal credit terms and the receivables do not bear interest. Where credit is extended beyond normal credit terms, receivables are measured at amortised cost using the effective interest method. At the end of each reporting period, the carrying amounts of trade and other receivables are reviewed to determine whether there is any objective evidence that the amounts are not recoverable. If so, an impairment loss is recognised immediately in profit or loss.

Trade payables

Trade payables are obligations on the basis of normal credit terms and do not bear interest. Trade payables denominated in a foreign currency are translated into CU using the exchange rate at the reporting date. Foreign exchange gains or losses are included in other income or other expenses.

Bank loans and overdrafts

Interest expense is recognised on the basis of the effective interest method and is included in finance costs.

Employee benefits—long-service payment

The liability for employee benefit obligations relates to government-mandated long-service payments. All full-time staff, excluding directors, are covered by the programme. A payment is made of 5 per cent of salary (as determined for the twelve months before the payment) at the end of each of five years of employment. The payment is made as part of the December payroll in the fifth year. The Group does not fund this obligation in advance.

The Group's cost and obligation to make long-service payments to employees are recognised during the employees' periods of service. The cost and obligation are measured using the projected unit credit method, assuming a 4 per cent average annual salary increase, with employee turnover based on the Group's recent experience, discounted using the current market yield for high quality corporate bonds.

Provision for warranty obligations

All goods sold by the Group are warranted to be free of manufacturing defects for a period of one year. Goods are repaired or replaced at the Group's option. When revenue is recognised, a provision is made for the estimated cost of the warranty obligation.

3. Key sources of estimation uncertainty

Long-service payments

In determining the liability for long-service payments (explained in note 19), management must make an estimate of salary increases over the following five years, the discount rate for the next five years to use in the present value calculation and the number of employees expected to leave before they receive the benefits.

4. Restriction on payment of dividend

Under the terms of the bank loan and bank overdraft agreements, dividends cannot be paid to the extent that they would reduce the balance of retained earnings below the sum of the outstanding balance of the bank loan and the bank overdraft.

5. Revenue

	20X2 CU	20X1 CU
Sale of goods	6,743,545	5,688,653
Royalties – licensing of candle-making patents	120,000	120,000
	<u>6,863,545</u>	<u>5,808,653</u>

6. Other income

Other income includes dividends received from an associate of CU25,000 in both 20X1 and 20X2 and gain on disposal of property, plant and equipment of CU63,850 in 20X2.

7. Finance costs

	20X2 CU	20X1 CU
Interest on bank loan and overdraft	(21,250)	(30,135)
Interest on finance leases	(5,116)	(6,577)
	<u>(26,366)</u>	<u>(36,712)</u>

8. Profit before tax

The following items have been recognised as expenses (income) in determining profit before tax:

	20X2 CU	20X1 CU
Cost of inventories recognised as expense	5,178,530	4,422,575
Research and development cost (included in other expenses)	31,620	22,778
Foreign exchange loss on trade payables (included in other expenses)	1,000	–
Warranty expense (included in cost of sales*)	5,260	7,340

*If the entity classifies its expenses by nature in its income statement, this would say 'included in raw materials and consumables used'.

9. Income tax expense

	20X2 CU	20X1 CU
Current tax	271,647	190,316
Deferred tax (note 15)	(1,397)	(757)
	<u>270,250</u>	<u>189,559</u>

Income tax is calculated at 40 per cent (20X1: 40 per cent) of the estimated assessable profit for the year.

Income tax expense for the year CU270,250 in 20X2 (CU189,559 in 20X1) differs from the amount that would result from applying the tax rate of 40 per cent (both 20X2 and 20X1) to profit before tax because, under the tax laws of A Land, some employee compensation expenses (CU20,670 in 20X2 and CU16,750 in 20X1) that are recognised in measuring profit before tax are not tax-deductible.

10. Trade and other receivables

	20X2 CU	20X1 CU
Trade debtors	528,788	528,384
Prepayments	56,760	45,478
	<u>585,548</u>	<u>573,862</u>

11. Inventories

	20X2 CU	20X1 CU
Raw materials	42,601	36,450
Work in progress	1,140	900
Finished goods	13,640	10,570
	<u>57,381</u>	<u>47,920</u>

12. Investment in associate

The Group owns 35 per cent of an associate whose shares are not publicly traded.

	20X2 CU	20X1 CU
Cost of investment in associate	107,500	107,500
Dividend received from associate (included in other income)	25,000	25,000

13. Property, plant and equipment

	Land and buildings CU	Fixtures and equipment CU	Total CU
Cost			
1 January 20X2	1,960,000	1,102,045	3,062,045
Additions	–	485,000	485,000
Disposals	–	(241,000)	(241,000)
31 December 20X2	<u>1,960,000</u>	<u>1,346,045</u>	<u>3,306,045</u>
Accumulated depreciation and impairment			
1 January 20X2	390,000	270,590	660,590
Annual depreciation	30,000	240,360	270,360
Impairment	–	30,000	30,000
Less accumulated depreciation on assets disposed of	–	(204,850)	(204,850)
31 December 20X2	<u>420,000</u>	<u>336,100</u>	<u>756,100</u>
Carrying amount			
31 December 20X2	<u>1,540,000</u>	<u>1,009,945</u>	<u>2,549,945</u>

During 20X2 the Group noticed a significant decline in the efficiency of a major piece of equipment and so carried out a review of its recoverable amount. The review led to the recognition of an impairment loss of CU30,000.

The carrying amount of the Group's fixtures and equipment includes an amount of CU40,000 (20X1: CU60,000) in respect of assets held under finance leases.

On 10 December 20X2 the directors resolved to dispose of a machine. The machine's carrying amount of CU1,472 is included in fixtures and equipment at 31 December 20X2, and trade payables includes the Group's remaining obligation of CU1,550 on the acquisition of this machine. Because the proceeds on disposal are expected to exceed the net carrying amount of the asset and related liability, no impairment loss has been recognised.

14. Intangible assets

Software:

Cost	CU
1 January 20X2	8,500
Additions	–
Disposals	–
31 December 20X2	<u>8,500</u>
Accumulated depreciation and impairment	
1 January 20X2	5,950
Annual amortisation (included in administrative expenses*)	<u>1,700</u>
31 December 20X2	<u>7,650</u>
Carrying amount	
31 December 20X2	<u>850</u>

*If the entity classifies its expenses by nature in its income statement, this would say 'included in depreciation and amortisation expense'.

15. Deferred tax

Differences between amounts recognised in the income statement and amounts reported to tax authorities in connection with investments in the subsidiary and associate are insignificant.

The deferred tax assets are the tax effects of expected future income tax benefits relating to:

- (a) the long-service benefit (note 19), which will not be tax-deductible until the benefit is actually paid but has already been recognised as an expense in measuring the Group's profit for the year.
- (b) the foreign exchange loss on trade payables, which will not be tax-deductible until the payables are settled but has already been recognised as an expense in measuring the Group's profit for the year.

Management considers it probable that taxable profits will be available against which the future income tax deductions can be utilised.

The following are the deferred tax liabilities (assets) recognised by the Group:

	Software CU	Foreign exchange loss CU	Long- service benefit CU	Total CU
1 January 20X1	1,700	–	(3,855)	(2,155)
Charge (credit) to profit or loss for the year	(680)	–	(77)	(757)
1 January 20X2	<u>1,020</u>	<u>–</u>	<u>(3,932)</u>	<u>(2,912)</u>
Charge (credit) to profit or loss for the year	(680)	(400)	(317)	(1,397)
31 December 20X2	<u>340</u>	<u>(400)</u>	<u>(4,249)</u>	<u>(4,309)</u>

SFRS for Small Entities - Illustrative Financial Statements, Table of Presentation
and Disclosure Requirements

The deferred tax assets for the foreign exchange loss and the long-service benefits and the deferred tax liability for software relate to income tax in the same jurisdiction, and the law allows net settlement. Consequently, they have been offset in the statement of financial position as follows:

	20X2 CU	20X1 CU
Deferred tax liability	340	1,020
Deferred tax asset	(4,649)	(3,932)
	<u>(4,309)</u>	<u>(2,912)</u>

16. Bank overdraft and loan

	20X2 CU	20X1 CU
Bank overdraft	83,600	115,507
Bank loan—fully repayable in 20X4, prepayable without penalty	50,000	150,000
	<u>133,600</u>	<u>265,507</u>

The bank overdraft and loan are secured by a floating lien over land and buildings owned by the Group with a carrying amount of CU266,000 at 31 December 20X2 (CU412,000 at 31 December 20X1).

Interest is payable on the bank overdraft at 200 points above the London Interbank Borrowing Rate (LIBOR). Interest is payable on the seven-year bank loan at a fixed rate of 5 per cent of the principal amount.

17. Trade payables

Trade payables at 31 December 20X2 include CU42,600 denominated in foreign currencies (nil at 31 December 20X1).

18. Provision for warranty obligations

Changes in the provision for warranty obligations during 20X2 were:

	20X2 CU
1 January 20X2	5,040
Additional accrual during the year	5,260
Cost of warranty repairs and replacement during the year	(6,100)
31 December 20X2	<u>4,200</u>

The obligation is classified as a current liability because the warranty is limited to twelve months.

19. Employee benefit obligation—long-service payments

The Group's employee benefit obligation for long-service payments under a government-mandated plan is based on a comprehensive actuarial valuation as of 31 December 20X2 and is as follows:

	20X2 CU
Obligation at 1 January 20X2	9,830
Additional accrual during the year	7,033
Benefit payments made in year	(6,240)
Obligation at 31 December 20X2	<u>10,623</u>

The obligation is classified as:

	20X2 CU	20X1 CU
Current liability	4,944	4,754
Non-current liability	5,679	5,076
Total	<u>10,623</u>	<u>9,830</u>

20. Obligations under finance leases

The Group holds one piece of specialised machinery with an estimated useful life of five years under a five-year finance lease. The future minimum lease payments are as follows:

	20X2 CU	20X1 CU
Within one year	25,000	25,000
Later than one year but within five years	25,000	50,000
Later than five years	—	—
	<u>50,000</u>	<u>75,000</u>

The obligation is classified as:

	20X2 CU	20X1 CU
Current liability	21,461	19,884
Non-current liability	23,163	44,624
	<u>44,624</u>	<u>64,508</u>

21. Commitments under operating leases

The Group rents several sales offices under operating leases. The leases are for an average period of three years, with fixed rentals over the same period.

	20X2 CU	20X1 CU
Minimum lease payments under operating leases recognised as an expense during the year	26,100	26,100

At year-end, the Group has outstanding commitments under non-cancellable operating leases that fall due as follows:

	20X2 CU	20X1 CU
Within one year	13,050	26,100
Later than one year but within five years	–	13,050
Later than five years	–	–
	13,050	39,150

22. Share capital

Balances as at 31 December 20X2 and 20X1 of CU30,000 comprise 30,000 ordinary shares with par value CU1.00 fully paid, issued and outstanding. An additional 70,000 shares are legally authorised but unissued.

23. Cash and cash equivalents

	20X2 CU	20X1 CU
Cash on hand	28,700	22,075
Overdrafts	(83,600)	(115,507)
	(54,900)	(93,432)

24. Contingent liabilities

During 20X2 a customer initiated proceedings against XYZ (Trading) Limited for a fire caused by a faulty candle. The customer asserts that its total losses are CU50,000 and has initiated litigation claiming this amount.

The Group's legal counsel do not consider that the claim has merit and the Company intends to contest it. No provision has been recognised in these financial statements as the Group's management does not consider it probable that a loss will arise.

25. Events after the end of the reporting period

On 25 January 20X3 there was a flood in one of the candle storage rooms. The cost of refurbishment is expected to be CU36,000. The reimbursements from insurance are estimated to be CU16,000.

On 14 February 20X3 the directors voted to declare a dividend of CU1.00 per share (CU30,000 total) payable on 15 April 20X3 to registered shareholders on 31 March 20X3. Because the obligation arose in 20X3, a liability is not shown in the statement of financial position at 31 December 20X2.

26. Related party transactions

Transactions between the Company and its subsidiary, which is a related party, have been eliminated in consolidation.

The Group sells goods to its associate (see note 12), which is a related party, as follows:

	Sales of goods		Amounts owed to the Group by the related party and included in trade receivables at year-end	
	20X2	20X1	20X2	20X1
	CU	CU	CU	CU
Associate	10,000	8,000	800	400

The payments under the finance lease (see note 20) are personally guaranteed by a principal shareholder of the Company. No charge has been requested for this guarantee.

The total remuneration of directors and other members of key management in 20X2 (including salaries and benefits) was CU249,918 (20X1: CU208,260).

27. Approval of financial statements

These financial statements were approved by the board of directors and authorised for issue on 10 March 20X3.

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Table of Presentation and Disclosure Requirements by Section

This table has been derived from the presentation and disclosure requirements in the SFRS for Small Entities.

- D1 This table collects together the presentation and disclosure requirements in the *SFRS for Small Entities* for ease of reference when preparing the financial statements.
- D2 This table deals with both presentation and disclosures. Often a required presentation is the equivalent of a disclosure requirement. To illustrate, Section 3 *Financial Statement Presentation*, Section 4 *Statement of Financial Position*, Section 5 *Statement of Comprehensive Income and Income Statement* and Section 6 *Statement of Changes in Equity and Statement of Income and Retained Earnings* of this SFRS require the presentation of some specific line items in the statement of financial position, statement of comprehensive income, income statement (if presented), statement of changes in equity and statement of cash flows.
- D3 In most cases, this SFRS does not specify whether a disclosure should be made within a financial statement or in the notes. In several cases, however, disclosures are expressly required to be in a financial statement; these are identified in this table.
- D4 Some requirements specify information that is required to be included in the financial statements, which include the notes. An entity need not provide a specific disclosure required by the *SFRS for Small Entities* or present a separate line item if the information resulting from that disclosure is not material. This is the case even if the *SFRS for Small Entities* contains a list of specific requirements or describes them as minimum requirements. The concept of materiality is discussed in paragraph 2.6.
- D5 The application of the *SFRS for Small Entities*, with additional disclosure when necessary, is presumed to result in financial statements that achieve a fair presentation of the financial position, financial performance and cash flows of an entity eligible to use this SFRS. An entity shall also consider whether to provide additional disclosures when compliance with the specific requirements in the *SFRS for Small Entities* is insufficient to enable users to understand the effect of particular transactions, other events and conditions on the entity's financial position and financial performance. An entity must present additional line items, headings and subtotals in the financial statements when such presentation is relevant to an understanding of the entity's financial position, performance and changes in financial position. Similarly, an entity must include in the notes to financial statements information that is not presented elsewhere in the financial statements but is relevant to an understanding of them.

Section 1 *Small Entities*

No presentation or disclosure requirements in this section.

Section 2 *Concepts and Pervasive Principles*

No presentation or disclosure requirements in this section.

Section 3 *Financial Statement Presentation*

Compliance with the *SFRS for Small Entities*

3.3	An entity whose financial statements comply with the <i>SFRS for Small Entities</i> shall make an explicit and unreserved statement of such compliance in the notes. Financial statements shall not be described as complying with the <i>SFRS for Small Entities</i> unless they comply with all the requirements of this SFRS.
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SFRS for Small Entities - Illustrative Financial Statements, Table of Presentation
and Disclosure Requirements

3.5	When an entity departs from a requirement of this SFRS in accordance with paragraph 3.4, it shall disclose the following: (a) that management has concluded that the financial statements present fairly the entity's financial position, financial performance and cash flows; (b) that it has complied with the <i>SFRS for Small Entities</i>, except that it has departed from a particular requirement to achieve a fair presentation; and (c) the nature of the departure, including the treatment that the <i>SFRS for Small Entities</i> would require, the reason why that treatment would be so misleading in the circumstances that it would conflict with the objective of financial statements set out in Section 2 and the treatment adopted.
3.6	When an entity has departed from a requirement of this SFRS in a prior period, and that departure affects the amounts recognised in the financial statements for the current period, it shall make the disclosures set out in paragraph 3.5(c).
3.7	In the extremely rare circumstances when management concludes that compliance with a requirement in this SFRS would be so misleading that it would conflict with the objective of financial statements of small entities set out in Section 2, but the relevant regulatory framework prohibits departure from the requirement, the entity shall, to the maximum extent possible, reduce the perceived misleading aspects of compliance by disclosing the following: (a) the nature of the requirement in this SFRS and the reason why management has concluded that complying with that requirement is so misleading in the circumstances that it conflicts with the objective of financial statements set out in Section 2; and (b) for each period presented, the adjustments to each item in the financial statements that management has concluded would be necessary to achieve a fair presentation.
3.9	When management is aware, in making its assessment, of material uncertainties related to events or conditions that cast significant doubt upon the entity's ability to continue as a going concern, the entity shall disclose those uncertainties. When an entity does not prepare financial statements on a going concern basis, it shall disclose that fact, together with the basis on which it prepared the financial statements and the reason why the entity is not regarded as a going concern.

Frequency of reporting

3.10	An entity shall present a complete set of financial statements (including comparative information—see paragraph 3.14) at least annually. When the end of an entity's reporting period changes and the annual financial statements are presented for a period longer or shorter than one year, the entity shall disclose the following: (a) that fact; (b) the reason for using a longer or shorter period; and (c) the fact that comparative amounts presented in the financial statements (including the related notes) are not entirely comparable.
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Consistency of presentation

3.12	When the presentation or classification of items in the financial statements is changed, an entity shall reclassify comparative amounts unless the reclassification is impracticable. When comparative amounts are reclassified, an entity shall disclose the following: (a) the nature of the reclassification; (b) the amount of each item or class of items that is reclassified; and (c) the reason for the reclassification.
3.13	If it is impracticable to reclassify comparative amounts, an entity shall disclose why reclassification was not practicable.

Comparative information

3.14	Except when this SFRS permits or requires otherwise, an entity shall disclose comparative information in respect of the previous comparable period for all amounts presented in the current period's financial statements. An entity shall include comparative information for narrative and descriptive information when it is relevant to an understanding of the current period's financial statements.
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Materiality and aggregation

3.15	An entity shall present separately each material class of similar items. An entity shall present separately items of a dissimilar nature or function unless they are immaterial.
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Complete set of financial statements

3.17	A complete set of financial statements of an entity shall include all of the following: (a) a statement of financial position as at the reporting date; (b) either: (i) a single statement of comprehensive income for the reporting period displaying all items of income and expense recognised during the period including those items recognised in determining profit or loss (which is a subtotal in the statement of comprehensive income) and items of other comprehensive income. (ii) a separate income statement and a separate statement of comprehensive income. If an entity chooses to present both an income statement and a statement of comprehensive income, the statement of comprehensive income begins with profit or loss and then displays the items of other comprehensive income. (c) a statement of changes in equity for the reporting period; (d) a statement of cash flows for the reporting period; and
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SFRS for Small Entities - Illustrative Financial Statements, Table of Presentation
and Disclosure Requirements

	(e) notes, comprising a summary of significant accounting policies and other explanatory information.
3.18	If the only changes to equity during the periods for which financial statements are presented arise from profit or loss, payment of dividends, corrections of prior period errors and changes in accounting policy, the entity may present a single statement of income and retained earnings in place of the statement of comprehensive income and statement of changes in equity (see paragraph 6.4).
3.19	If an entity has no items of other comprehensive income in any of the periods for which financial statements are presented, it may present only an income statement or it may present a statement of comprehensive income in which the 'bottom line' is labelled 'profit or loss'.
3.20	Because paragraph 3.14 requires comparative amounts in respect of the previous period for all amounts presented in the financial statements, a complete set of financial statements means that an entity shall present, as a minimum, two of each of the required financial statements and related notes.
3.21	In a complete set of financial statements, an entity shall present each financial statement with equal prominence.

Identification of the financial statements

3.23	An entity shall clearly identify each of the financial statements and the notes and distinguish them from other information in the same document. In addition, an entity shall display the following information prominently and repeat it when necessary for an understanding of the information presented: (a) the name of the reporting entity and any change in its name since the end of the preceding reporting period; (b) whether the financial statements cover the individual entity or a group of entities; (c) the date of the end of the reporting period and the period covered by the financial statements; (d) the presentation currency, as defined in Section 30 <i>Foreign Currency Translation</i>; and (e) the level of rounding, if any, used in presenting amounts in the financial statements.
3.24	An entity shall disclose the following in the notes: (a) the domicile and legal form of the entity, its country of incorporation and the address of its registered office (or principal place of business, if different from the registered office); and (b) a description of the nature of the entity's operations and its principal activities.

Presentation of information not required by this SFRS

3.25	This SFRS does not address presentation of segment information, earnings per share, or interim financial reports by a small entity. An entity making such disclosures shall describe the basis for preparing and presenting the information.
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Section 4 *Statement of Financial Position*

Information to be presented in the statement of financial position

4.2	As a minimum, the statement of financial position shall include line items that present the following amounts: (a) cash and cash equivalents; (b) trade and other receivables; (c) financial assets (excluding amounts shown under (a), (b) (i) and (j)); (d) inventories; (e) property, plant and equipment; (ea) investment property carried at cost less accumulated depreciation and impairment; (f) investment property carried at fair value through profit or loss; (g) intangible assets; (h) biological assets carried at cost less accumulated depreciation and impairment; (i) biological assets carried at fair value through profit or loss; (j) investments in associates; (k) investments in jointly controlled entities; (l) trade and other payables; (m) financial liabilities (excluding amounts shown under (l) and (p)); (n) liabilities and assets for current tax; (o) deferred tax liabilities and deferred tax assets (these shall always be classified as non-current); (p) provisions; (q) non-controlling interest, presented within equity separately from the equity attributable to the owners of the parent; and (r) equity attributable to the owners of the parent.
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4.3	An entity shall present additional line items, headings and subtotals in the statement of financial position when such presentation is relevant to an understanding of the entity's financial position.
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Current/non-current distinction

4.4	An entity shall present current and non-current assets, and current and non-current liabilities, as separate classifications in its statement of financial position in accordance with paragraphs 4.5–4.8, except when a presentation based on liquidity provides information that is reliable and more relevant. When that exception applies, all assets and liabilities shall be presented in order of approximate liquidity (ascending or descending).
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Sequencing of items and format of items in the statement of financial position

4.9	This SFRS does not prescribe the sequence or format in which items are to be presented. Paragraph 4.2 simply provides a list of items that are sufficiently different in nature or function to warrant separate presentation in the statement of financial position. In addition: (a) line items are included when the size, nature or function of an item or aggregation of similar items is such that separate presentation is relevant to an understanding of the entity's financial position; and (b) the descriptions used and the sequencing of items or aggregation of similar items may be amended according to the nature of the entity and its transactions, to provide information that is relevant to an understanding of the entity's financial position.
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Information to be presented either in the statement of financial position or in the notes

4.11	An entity shall disclose, either in the statement of financial position or in the notes, the following subclassifications of the line items presented: (a) property, plant and equipment in classifications appropriate to the entity; (b) trade and other receivables showing separately amounts due from related parties, amounts due from other parties and receivables arising from accrued income not yet billed; (c) inventories, showing separately amounts of inventories: (i) held for sale in the ordinary course of business; (ii) in the process of production for such sale; and (iii) in the form of materials or supplies to be consumed in the production process or in the rendering of services.
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SFRS for Small Entities - Illustrative Financial Statements, Table of Presentation
and Disclosure Requirements

	(d) trade and other payables, showing separately amounts payable to trade suppliers, payable to related parties, deferred income, and accruals; (e) provisions for employee benefits and other provisions; and (f) classes of equity, such as paid-in capital, share premium, retained earnings and items of income and expense that, as required by this SFRS, are recognised in other comprehensive income and presented separately in equity.
4.12	An entity with share capital shall disclose the following, either in the statement of financial position or in the notes: (a) for each class of share capital: (i) the number of shares authorised. (ii) the number of shares issued and fully paid and issued but not fully paid. (iii) par value per share or that the shares have no par value. (iv) a reconciliation of the number of shares outstanding at the beginning and at the end of the period. This reconciliation need not be presented for prior periods. (v) the rights, preferences and restrictions attaching to that class including restrictions on the distribution of dividends and the repayment of capital. (vi) shares in the entity held by the entity or by its subsidiaries or associates. (vii) shares reserved for issue under options and contracts for the sale of shares, including the terms and amounts. (b) a description of each reserve within equity.
4.13	An entity without share capital, such as a partnership or trust, shall disclose information equivalent to that required by paragraph 4.12(a), showing changes during the period in each category of equity, and the rights, preferences and restrictions attaching to each category of equity.
4.14	If, at the reporting date, an entity has a binding sale agreement for a major disposal of assets, or a group of assets and liabilities, the entity shall disclose the following information: (a) a description of the asset(s) or the group of assets and liabilities; (b) a description of the facts and circumstances of the sale or plan; and (c) the carrying amount of the assets or, if the disposal involves a group of assets and liabilities, the carrying amounts of those assets and liabilities.

Section 5 *Statement of Comprehensive Income and Income Statement*

Presentation of total comprehensive income

5.2	An entity shall present its total comprehensive income for a period either: (a) in a single statement of comprehensive income, in which case the statement of comprehensive income presents all items of income and expense recognised in the period; or (b) in two statements—an income statement and a statement of comprehensive income—in which case the income statement presents all items of income and expense recognised in the period except those that are recognised in total comprehensive income outside of profit or loss as permitted or required by this SFRS.
5.5	As a minimum, an entity shall include, in the statement of comprehensive income, line items that present the following amounts for the period: (a) revenue. (b) finance costs. (c) share of the profit or loss of investments in associates (see Section 14 <i>Investments in Associates</i>) and jointly controlled entities (see Section 15 <i>Investments in Joint Ventures</i>) accounted for using the equity method. (d) tax expense excluding tax allocated to items (e), (g) and (h) (see paragraph 29.35). (e) a single amount comprising the total of: (i) the post-tax profit or loss of a discontinued operation; and (ii) the post-tax gain or loss attributable to an impairment, or reversal of an impairment, of the assets in the discontinued operation (see Section 27 <i>Impairment of Assets</i>), both at the time and subsequent to being classified as a discontinued operation and to the disposal of the net assets constituting the discontinued operation. (f) profit or loss (if an entity has no items of other comprehensive income, this line need not be presented). (g) each item of other comprehensive income (see paragraph 5.4(b)) classified by nature (excluding amounts in (h)). Such items shall be grouped into those that, in accordance with this SFRS: (i) will not be reclassified subsequently to profit or loss—ie those in paragraph 5.4(b)(i)-(ii) and (iv); and (ii) will be reclassified subsequently to profit or loss when specific conditions are met—ie those in paragraph 5.4(b)(iii). (h) share of the other comprehensive income of associates and jointly controlled entities accounted for by the equity method.

SFRS for Small Entities - Illustrative Financial Statements, Table of Presentation
and Disclosure Requirements

	(i) total comprehensive income (if an entity has no items of other comprehensive income, it may use another term for this line such as profit or loss).
5.6	An entity shall disclose separately the following items in the statement of comprehensive income as allocations for the period: (a) profit or loss for the period attributable to: (i) non-controlling interest; and (ii) owners of the parent. (b) total comprehensive income for the period attributable to: (i) non-controlling interest; and (ii) owners of the parent.

Requirements applicable to both approaches

5.8	Under this SFRS, the effects of corrections of errors and changes in accounting policies are presented as retrospective adjustments of prior periods instead of as part of profit or loss in the period in which they arise (see Section 10 <i>Accounting Policies, Estimates and Errors</i>).
5.9	An entity shall present additional line items, headings and subtotals in the statement of comprehensive income (and in the income statement, if presented), when such presentation is relevant to an understanding of the entity's financial performance.
5.10	An entity shall not present or describe any items of income and expense as 'extraordinary items' in the statement of comprehensive income (or in the income statement, if presented) or in the notes.

Analysis of expenses

5.11	An entity shall present an analysis of expenses using a classification based on either the nature of expenses or the function of expenses within the entity, whichever provides information that is reliable and more relevant. Analysis by nature of expense (a) Under this method of classification, expenses are aggregated in the statement of comprehensive income according to their nature (for example, depreciation, purchases of materials, transport costs, employee benefits and advertising costs) and are not reallocated among various functions within the entity. Analysis by function of expense (b) Under this method of classification, expenses are aggregated according to their function as part of cost of sales or, for example, the costs of distribution or administrative activities. At a minimum, an entity discloses its cost of sales under this method separately from other expenses.
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Section 6 *Statement of Changes in Equity and Statement of Income and Retained Earnings*

Information to be presented in the statement of changes in equity

6.3	The statement of changes in equity includes the following information: (a) total comprehensive income for the period, showing separately the total amounts attributable to owners of the parent and to non-controlling interests; (b) for each component of equity, the effects of retrospective application or retrospective restatement recognised in accordance with Section 10 <i>Accounting Policies, Estimates and Errors</i>; and (c) for each component of equity, a reconciliation between the carrying amount at the beginning and the end of the period, separately disclosing changes resulting from: (i) profit or loss; (ii) other comprehensive income; and (iii) the amounts of investments by, and dividends and other distributions to, owners in their capacity as owners, showing separately issues of shares, treasury share transactions, dividends and other distributions to owners and changes in ownership interests in subsidiaries that do not result in a loss of control.
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Information to be presented in the statement of income and retained earnings

6.5	An entity shall present, in the statement of income and retained earnings, the following items in addition to the information required by Section 5 <i>Statement of Comprehensive Income and Income Statement</i>: (a) retained earnings at the beginning of the reporting period; (b) dividends declared and paid or payable during the period; (c) restatements of retained earnings for corrections of prior period errors; (d) restatements of retained earnings for changes in accounting policy; and (e) retained earnings at the end of the reporting period.
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Section 7 *Statement of Cash Flows*

Information to be presented in the statement of cash flows

7.3	An entity shall present a statement of cash flows that presents cash flows for a reporting period classified by operating activities, investing activities and financing activities.
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Reporting cash flows from operating activities

7.7	An entity shall present cash flows from operating activities using either: (a) the indirect method, whereby profit or loss is adjusted for the effects of non-cash transactions, any deferrals or accruals of past or future operating cash receipts or payments and items of income or expense associated with investing or financing cash flows; or (b) the direct method, whereby major classes of gross cash receipts and gross cash payments are disclosed.
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Reporting cash flows from investing and financing activities

7.10	An entity shall present separately major classes of gross cash receipts and gross cash payments arising from investing and financing activities. The aggregate cash flows arising from acquisitions and from disposals of subsidiaries or other business units shall be presented separately and classified as investing activities.
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Interest and dividends

7.14	An entity shall present separately cash flows from interest and dividends received and paid. The entity shall classify cash flows consistently from period to period as operating, investing or financing activities.
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Income tax

7.17	An entity shall present separately cash flows arising from income tax and shall classify them as cash flows from operating activities unless they can be specifically identified with financing and investing activities. When tax cash flows are allocated over more than one class of activity, the entity shall disclose the total amount of taxes paid.
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Non-cash transactions

7.18	An entity shall exclude from the statement of cash flows investing and financing transactions that do not require the use of cash or cash equivalents. An entity shall disclose such transactions elsewhere in the financial statements in a way that provides all the relevant information about these investing and financing activities.
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Components of cash and cash equivalents

7.20	An entity shall present the components of cash and cash equivalents and shall present a reconciliation of the amounts presented in the statement of cash flows to the equivalent items presented in the statement of financial position. However, an entity is not required to present this reconciliation if the amount of cash and cash equivalents reported in the statement of cash flows is identical to the amount similarly described in the statement of financial position.
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Other disclosures

7.21	An entity shall disclose, together with a commentary by management, the amount of significant cash and cash equivalent balances held by the entity that are not available for use by the entity. Cash and cash equivalents held by an entity may not be available for use by the entity because of, among other reasons, foreign exchange controls or legal restrictions.
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Section 8 Notes to the Financial Statements

Structure of the notes

8.2	The notes shall: (a) present information about the basis of preparation of the financial statements and the specific accounting policies used, in accordance with paragraphs 8.5-8.7; (b) disclose the information required by this SFRS that is not presented elsewhere in the financial statements; and (c) provide information that is not presented elsewhere in the financial statements but is relevant to an understanding of any of them.
8.3	An entity shall, as far as practicable, present the notes in a systematic manner. An entity shall cross-reference each item in the financial statements to any related information in the notes.
8.4	An entity normally presents the notes in the following order: (a) a statement that the financial statements have been prepared in compliance with the <i>SFRS for Small Entities</i> (see paragraph 3.3); (b) a summary of significant accounting policies applied (see paragraph 8.5); (c) supporting information for items presented in the financial statements, in the sequence in which each statement and each line item is presented; and (d) any other disclosures.

Disclosure of accounting policies

8.5	An entity shall disclose the following in the summary of significant accounting policies: (a) the measurement basis (or bases) used in preparing the financial statements; and (b) the other accounting policies used that are relevant to an understanding of the financial statements.
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Information about judgements

8.6	An entity shall disclose, in the summary of significant accounting policies or other notes, the judgements, apart from those involving estimations (see paragraph 8.7), that management has made in the process of applying the entity's accounting policies and that have the most significant effect on the amounts recognised in the financial statements.
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Information about key sources of estimation uncertainty

8.7	An entity shall disclose in the notes information about the key assumptions concerning the future, and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. In respect of those assets and liabilities, the notes shall include details of: (a) their nature; and (b) their carrying amount as at the end of the reporting period.
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Section 9 Consolidated and Separate Financial Statements

Requirement to present consolidated financial statements

9.2	Except as permitted or required by paragraph 9.3 and 9.3C, a parent entity shall present consolidated financial statements in which it consolidates its investments in subsidiaries. Consolidated financial statements shall include all subsidiaries of the parent.
9.3	A parent need not present consolidated financial statements if both of the following conditions are met: (a) the parent is itself a subsidiary, and (b) its ultimate parent (or any intermediate parent) produces consolidated general purpose financial statements that comply with full SFRSs or with this SFRS; or
9.3C	If a parent has no subsidiaries other than subsidiaries that are not required to be consolidated in accordance with paragraphs 9.3A–9.3B, it shall not present consolidated financial statements. However, the parent shall provide the disclosure in paragraph 9.23A.

Non-controlling interest in subsidiaries

9.20	An entity shall present non-controlling interest in the consolidated statement of financial position within equity, separately from the equity of the owners of the parent, as required by paragraph 4.2(q).
9.21	An entity shall disclose non-controlling interest in the profit or loss of the group separately in the statement of comprehensive income, as required by paragraph 5.6 (or in the income statement, if presented, as required by paragraph 5.7).

Disclosures in consolidated financial statements

9.23	The following disclosures shall be made in consolidated financial statements: (a) the fact that the statements are consolidated financial statements; (b) the basis for concluding that control exists when the parent does not own, directly or indirectly through subsidiaries, more than half of the voting power; (c) any difference in the reporting date of the financial statements of the parent and its subsidiaries used in the preparation of the consolidated financial statement; and (d) the nature and extent of any significant restrictions (for example, resulting from borrowing arrangements or regulatory requirements) on the ability of subsidiaries to transfer funds to the parent in the form of cash dividends or to repay loans.
9.23A	In addition to the disclosure requirements in Section 11, a parent entity shall disclose the carrying amount of investments in subsidiaries that are not consolidated (see paragraphs 9.3A–9.3C) at the reporting date, in total, either in the statement of financial position or in the notes.

Disclosures in separate financial statements

9.27	When a parent, an investor in an associate, or a venturer with an interest in a jointly controlled entity prepares separate financial statements, those separate financial statements shall disclose: (a) that the statements are separate financial statements; and (b) a description of the methods used to account for the investments in subsidiaries, jointly controlled entities and associates, and shall identify the consolidated financial statements or other primary financial statements to which they relate.
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Disclosures in combined financial statements

9.30	The combined financial statements shall disclose the following: (a) the fact that the financial statements are combined financial statements; (b) the reason why combined financial statements are prepared; (c) the basis for determining which entities are included in the combined financial statements; (d) the basis of preparation of the combined financial statements; and (e) the related party disclosures required by Section 33 <i>Related Party Disclosures</i>.
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Section 10 Accounting Policies, Estimates and Errors

Disclosure of a change in accounting policy

10.13	When an amendment to this SFRS has an effect on the current period or any prior period, or might have an effect on future periods, an entity shall disclose the following: (a) the nature of the change in accounting policy; (b) for the current period and each prior period presented, to the extent practicable, the amount of the adjustment for each financial statement line item affected; (c) the amount of the adjustment relating to periods before those presented, to the extent practicable; and (d) an explanation if it is impracticable to determine the amounts to be disclosed in (b) or (c). Financial statements of subsequent periods need not repeat these disclosures.
10.14	When a voluntary change in accounting policy has an effect on the current period or any prior period, an entity shall disclose the following: (a) the nature of the change in accounting policy; (b) the reasons why applying the new accounting policy provides reliable and more relevant information; (c) to the extent practicable, the amount of the adjustment for each financial statement line item affected, shown separately: (i) for the current period; (ii) for each prior period presented; and (iii) in the aggregate for periods before those presented. (d) an explanation if it is impracticable to determine the amounts to be disclosed in (c). Financial statements of subsequent periods need not repeat these disclosures.

Disclosure of a change in estimate

10.18	An entity shall disclose the nature of any change in an accounting estimate and the effect of the change on assets, liabilities, income and expense for the current period. If it is practicable for the entity to estimate the effect of the change in one or more future periods, the entity shall disclose those estimates.
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Disclosure of prior period errors

10.23	An entity shall disclose the following about prior period errors: (a) the nature of the prior period error; (b) for each prior period presented, to the extent practicable, the amount of the correction for each financial statement line item affected; (c) to the extent practicable, the amount of the correction at the beginning of the earliest prior period presented; and (d) an explanation if it is not practicable to determine the amounts to be disclosed in (b) or (c). Financial statements of subsequent periods need not repeat these disclosures.
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Section 11 Basic Financial Instruments

Disclosures

11.39	The following disclosures make reference to disclosures for financial liabilities measured at fair value through profit or loss. Entities that have only basic financial instruments (and therefore do not apply Section 12 <i>Other Financial Instrument Issues</i>) will not have any financial liabilities measured at fair value through profit or loss and hence will not need to provide such disclosures.
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Disclosure of accounting policies for financial instruments

11.40	In accordance with paragraph 8.5, an entity shall disclose, in the summary of significant accounting policies, the measurement basis (or bases) used for financial instruments and the other accounting policies used for financial instruments that are relevant to an understanding of the financial statements.
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Statement of financial position—categories of financial assets and financial liabilities

11.41	An entity shall disclose the carrying amounts of each of the following categories of financial assets and financial liabilities at the reporting date, in total, either in the statement of financial position or in the notes: (a) financial assets measured at fair value through profit or loss (paragraph 11.14(c)(i) and paragraphs 12.8 and 12.9); (b) financial assets that are debt instruments measured at amortised cost (paragraph 11.14(a)); (c) financial assets that are equity instruments measured at cost less impairment (paragraph 11.14(c)(ii) and paragraphs 12.8 and 12.9); (d) financial liabilities measured at fair value through profit or loss (paragraphs 12.8 and 12.9);
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SFRS for Small Entities - Illustrative Financial Statements, Table of Presentation
and Disclosure Requirements

	(e) financial liabilities measured at amortised cost (paragraph 11.14(a)); and (f) loan commitments measured at cost less impairment (paragraph 11.14(b)).
11.42	An entity shall disclose information that enables users of its financial statements to evaluate the significance of financial instruments for its financial position and performance. For example, for long-term debt such information would normally include the terms and conditions of the debt instrument (such as interest rate, maturity, repayment schedule, and restrictions that the debt instrument imposes on the entity).
11.43	For all financial assets and financial liabilities measured at fair value, the entity shall disclose the basis for determining fair value, for example, quoted market price in an active market or a valuation technique. When a valuation technique is used, the entity shall disclose the assumptions applied in determining fair value for each class of financial assets or financial liabilities. For example, if applicable, an entity discloses information about the assumptions relating to prepayment rates, rates of estimated credit losses, and interest rates or discount rates.
11.44	If a reliable measure of fair value is no longer available, or is not available without undue cost or effort when such an exemption is provided, for any financial instruments that would otherwise be required to be measured at fair value through profit or loss in accordance with this SFRS, the entity shall disclose that fact, the carrying amount of those financial instruments and, if an undue cost or effort exemption has been used, the reasons why a reliable fair value measurement would involve undue cost or effort.

Derecognition

11.45	If an entity has transferred financial assets to another party in a transaction that does not qualify for derecognition (see paragraphs 11.33–11.35), the entity shall disclose the following for each class of such financial assets: (a) the nature of the assets; (b) the nature of the risks and rewards of ownership to which the entity remains exposed; and (c) the carrying amounts of the assets and of any associated liabilities that the entity continues to recognise.
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Collateral

11.46	When an entity has pledged financial assets as collateral for liabilities or contingent liabilities, it shall disclose the following: (a) the carrying amount of the financial assets pledged as collateral; and (b) the terms and conditions relating to its pledge.
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Defaults and breaches on loans payable

11.47	For loans payable recognised at the reporting date for which there is a breach of terms or a default of principal, interest, sinking fund, or redemption terms that have not been remedied by the reporting date, an entity shall disclose the following: (a) details of that breach or default; (b) the carrying amount of the related loans payable at the reporting date; and (c) whether the breach or default was remedied, or the terms of the loans payable were renegotiated, before the financial statements were authorised for issue.
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Items of income, expense, gains or losses

11.48	An entity shall disclose the following items of income, expense, gains or losses: (a) income, expense, gains or losses, including changes in fair value, recognised on: (i) financial assets measured at fair value through profit or loss; (ii) financial liabilities measured at fair value through profit or loss; (iii) financial assets measured at amortised cost; and (iv) financial liabilities measured at amortised cost. (b) total interest income and total interest expense (calculated using the effective interest method) for financial assets or financial liabilities that are not measured at fair value through profit or loss; and (c) the amount of any impairment loss for each class of financial asset.
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Section 12 *Other Financial Instrument Issues*

Disclosures

12.26	An entity applying this section shall make all of the disclosures required in Section 11 <i>Basic Financial Instruments</i> incorporating in those disclosures financial instruments that are within the scope of this section as well as those within the scope of Section 11. In addition, if the entity uses hedge accounting, it shall make the additional disclosures in paragraphs 12.27–12.29.
12.27	An entity shall disclose the following separately for hedges of each of the four types of risks described in paragraph 12.17: (a) a description of the hedge; (b) a description of the financial instruments designated as hedging instruments and their fair values at the reporting date; and (c) the nature of the risks being hedged, including a description of the hedged item.

SFRS for Small Entities - Illustrative Financial Statements, Table of Presentation
and Disclosure Requirements

12.28	If an entity uses hedge accounting for a hedge of fixed interest rate risk or commodity price risk of a commodity held (paragraphs 12.19–12.22) it shall disclose the following: (a) the amount of the change in fair value of the hedging instrument recognised in profit or loss for the period; and (b) the amount of the change in fair value of the hedged item recognised in profit or loss for the period.
12.29	If an entity uses hedge accounting for a hedge of variable interest rate risk, foreign exchange risk, commodity price risk in a firm commitment or highly probable forecast transaction or a net investment in a foreign operation (paragraphs 12.23–12.25), it shall disclose the following: (a) the periods when the cash flows are expected to occur and when they are expected to affect profit or loss; (b) a description of any forecast transaction for which hedge accounting had previously been used, but which is no longer expected to occur; (c) the amount of the change in fair value of the hedging instrument that was recognised in other comprehensive income during the period (paragraph 12.23); (d) the amount that was reclassified to profit or loss for the period (paragraphs 12.23 and 12.25); and (e) the amount of any excess of the cumulative change in fair value of the hedging instrument over the cumulative change in the fair value of the expected cash flows that was recognised in profit or loss for the period (paragraph 12.23).

Section 13 *Inventories*

Disclosures

13.22	An entity shall disclose the following: (a) the accounting policies adopted in measuring inventories, including the cost formula used; (b) the total carrying amount of inventories and the carrying amount in classifications appropriate to the entity; (c) the amount of inventories recognised as an expense during the period; (d) impairment losses recognised or reversed in profit or loss in accordance with Section 27 <i>Impairment of Assets</i>; and (e) the total carrying amount of inventories pledged as security for liabilities.
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Section 14 *Investments in Associates*

Financial statement presentation

14.11	An investor shall classify investments in associates as non-current assets.
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Disclosures

14.12	An entity shall disclose the following: (a) its accounting policy for investments in associates; (b) the carrying amount of investments in associates (see paragraph 4.2(j)); and (c) the fair value of investments in associates accounted for using the equity method for which there are published price quotations.
14.13	For investments in associates accounted for by the cost model, an investor shall disclose the amount of dividends and other distributions recognised as income.
14.14	For investments in associates accounted for by the equity method, an investor shall disclose separately its share of the profit or loss of such associates and its share of any discontinued operations of such associates.
14.15	For investments in associates accounted for by the fair value model, an investor shall make the disclosures required by paragraphs 11.41–11.44. If an investor applies the undue cost or effort exemption in paragraph 14.10 for any associates it shall disclose that fact, the reasons why fair value measurement would involve undue cost or effort and the carrying amount of investments in associates accounted for under the cost model.

Section 15 *Investments in Joint Ventures*

Disclosures

15.19	An entity shall disclose the following: (a) the accounting policy it uses for recognising its interests in jointly controlled entities; (b) the carrying amount of investments in jointly controlled entities (see paragraph 4.2(k)); (c) the fair value of investments in jointly controlled entities accounted for using the equity method for which there are published price quotations; and (d) the aggregate amount of its commitments relating to joint ventures, including its share in the capital commitments that have been incurred jointly with other venturers, as well as its share of the capital commitments of the joint ventures themselves.
15.20	For jointly controlled entities accounted for in accordance with the equity method, the venturer shall also make the disclosures required by paragraph 14.14 for equity method investments.

15.21	For jointly controlled entities accounted for in accordance with the fair value model, the venturer shall make the disclosures required by paragraphs 11.41–11.44. If a venturer applies the undue cost or effort exemption in paragraph 15.15 for any jointly controlled entity it shall disclose that fact, the reasons why fair value measurement would involve undue cost or effort and the carrying amount of investments in jointly controlled entities accounted for under the cost model.
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Section 16 *Investment Property*

Disclosures

16.10	An entity shall disclose the following for all investment property accounted for at fair value through profit or loss (paragraph 16.7): (a) the methods and significant assumptions applied in determining the fair value of investment property. (b) the extent to which the fair value of investment property (as measured or disclosed in the financial statements) is based on a valuation by an independent valuer who holds a recognised and relevant professional qualification and has recent experience in the location and class of the investment property being valued. If there has been no such valuation, that fact shall be disclosed. (c) the existence and amounts of restrictions on the realisability of investment property or the remittance of income and proceeds of disposal. (d) contractual obligations to purchase, construct or develop investment property or for repairs, maintenance or enhancements. (e) a reconciliation between the carrying amounts of investment property at the beginning and end of the period, showing separately: (i) additions, disclosing separately those additions resulting from acquisitions through business combinations; (ii) net gains or losses from fair value adjustments; (iii) transfers to and from investment property carried at cost less accumulated depreciation and impairment (see paragraph 16.8); (iv) transfers to and from inventories and owner-occupied property; and (v) other changes. This reconciliation need not be presented for prior periods.
16.11	In accordance with Section 20 <i>Leases</i> , the owner of an investment property provides lessors' disclosures about leases into which it has entered. An entity that holds an investment property under a finance lease or operating lease provides lessees' disclosures for finance leases and lessors' disclosures for any operating leases into which it has entered.

Section 17 *Property, Plant and Equipment*

Disclosures

17.31	An entity shall disclose the following for each class of property, plant and equipment determined in accordance with paragraph 4.11(a) and separately for investment property carried at cost less accumulated depreciation and impairment: (a) the measurement bases used for determining the gross carrying amount; (b) the depreciation methods used; (c) the useful lives or the depreciation rates used; (d) the gross carrying amount and the accumulated depreciation (aggregated with accumulated impairment losses) at the beginning and end of the reporting period; and (e) a reconciliation of the carrying amount at the beginning and end of the reporting period showing separately: (i) additions; (ii) disposals; (iii) acquisitions through business combinations; (iv) increases or decreases resulting from revaluations under paragraphs 17.15B–17.15D and from impairment losses recognised or reversed in other comprehensive income in accordance with Section 27; (v) transfers to and from investment property carried at fair value through profit or loss (see paragraph 16.8); (vi) impairment losses recognised or reversed in profit or loss in accordance with Section 27 <i>Impairment of Assets</i>; (vii) depreciation; and (viii) other changes. This reconciliation need not be presented for prior periods.
17.32	An entity shall also disclose the following: (a) the existence and carrying amounts of property, plant and equipment to which the entity has restricted title or that is pledged as security for liabilities; (b) the amount of contractual commitments for the acquisition of property, plant and equipment; and (c) if an entity has investment property whose fair value cannot be measured reliably without undue cost or effort it shall disclose that fact and the reasons why fair value measurement would involve undue cost or effort for those items of investment property.

17.33	If items of property, plant and equipment are stated at revalued amounts, an entity shall disclose the following: (a) the effective date of the revaluation; (b) whether an independent valuer was involved; (c) the methods and significant assumptions applied in estimating the items' fair values; (d) for each revalued class of property, plant and equipment, the carrying amount that would have been recognised had the assets been carried under the cost model; and the revaluation surplus, indicating the change for the period and any restrictions on the distribution of the balance to shareholders.
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Section 18 *Intangible Assets other than Goodwill*

Disclosures

18.27	An entity shall disclose the following for each class of intangible assets: (a) the useful lives or the amortisation rates used; (b) the amortisation methods used; (c) the gross carrying amount and any accumulated amortisation (aggregated with accumulated impairment losses) at the beginning and end of the reporting period; (d) the line item(s) in the statement of comprehensive income (and in the income statement, if presented) in which any amortisation of intangible assets is included; and (e) a reconciliation of the carrying amount at the beginning and end of the reporting period showing separately: (i) additions; (ii) disposals; (iii) acquisitions through business combinations; (iv) amortisation; (v) impairment losses; (vi) other changes. This reconciliation need not be presented for prior periods.
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18.28	An entity shall also disclose: (a) a description, the carrying amount and remaining amortisation period of any individual intangible asset that is material to the entity's financial statements; (b) for intangible assets acquired by way of a government grant and initially recognised at fair value (see paragraph 18.12): (i) the fair value initially recognised for these assets; and (ii) their carrying amounts. (c) the existence and carrying amounts of intangible assets to which the entity has restricted title or that are pledged as security for liabilities; and (d) the amount of contractual commitments for the acquisition of intangible assets.
18.29	An entity shall disclose the aggregate amount of research and development expenditure recognised as an expense during the period (ie the amount of expenditure incurred internally on research and development that has not been capitalised as part of the cost of another asset that meets the recognition criteria in this SFRS).

Section 19 *Business Combinations and Goodwill*

Disclosures for business combination(s) during the reporting period

19.25	For each business combination during the period, the acquirer shall disclose the following: (a) the names and descriptions of the combining entities or businesses; (b) the acquisition date; (c) the percentage of voting equity instruments acquired; (d) the cost of the combination and a description of the components of that cost (such as cash, equity instruments and debt instruments); (e) the amounts recognised at the acquisition date for each class of the acquiree's assets, liabilities and contingent liabilities, including goodwill; (f) the amount of any excess recognised in profit or loss in accordance with paragraph 19.24 and the line item in the statement of comprehensive income (and in the income statement, if presented) in which the excess is recognised; and (g) a qualitative description of the factors that make up the goodwill recognised, such as expected synergies from combining operations of the acquiree and the acquirer, or intangible assets or other items not recognised in accordance with paragraph 19.15.
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Disclosures for all business combinations

19.26	An acquirer shall disclose the useful lives used for goodwill and a reconciliation of the carrying amount of goodwill at the beginning and end of the reporting period, showing separately: (a) changes arising from new business combinations; (b) impairment losses; (c) disposals of previously acquired businesses; and (d) other changes. This reconciliation need not be presented for prior periods.
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Section 20 Leases

Financial statements of lessees—finance leases

20.13	A lessee shall make the following disclosures for finance leases: (a) for each class of asset, the net carrying amount at the end of the reporting period; (b) the total of future minimum lease payments at the end of the reporting period, for each of the following periods: (i) not later than one year; (ii) later than one year and not later than five years; and (iii) later than five years. (c) a general description of the lessee's significant leasing arrangements including, for example, information about contingent rent, renewal or purchase options and escalation clauses, subleases, and restrictions imposed by lease arrangements.
20.14	In addition, the requirements for disclosure about assets in accordance with Section 17 <i>Property, Plant and Equipment</i>, Section 18 <i>Intangible Assets other than Goodwill</i>, Section 27 <i>Impairment of Assets</i> and Section 34 <i>Specialised Assets</i> apply to lessees for assets leased under finance leases.

Financial statements of lessees—operating leases

20.16	A lessee shall make the following disclosures for operating leases: (a) the total of future minimum lease payments under non-cancellable operating leases for each of the following periods: (i) not later than one year; (ii) later than one year and not later than five years; and
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	(iii) later than five years. (b) lease payments recognised as an expense; and (c) a general description of the lessee's significant leasing arrangements including, for example, information about contingent rent, renewal or purchase options and escalation clauses, subleases, and restrictions imposed by lease arrangements.
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Financial statements of lessors—finance leases

20.23	A lessor shall make the following disclosures for finance leases: (a) a reconciliation between the gross investment in the lease at the end of the reporting period and the present value of minimum lease payments receivable at the end of the reporting period. In addition, a lessor shall disclose the gross investment in the lease and the present value of minimum lease payments receivable at the end of the reporting period, for each of the following periods: (i) not later than one year; (ii) later than one year and not later than five years; and (iii) later than five years. (b) unearned finance income. (c) the unguaranteed residual values accruing to the benefit of the lessor. (d) the accumulated allowance for uncollectible minimum lease payments receivable. (e) contingent rents recognised as income in the period. (f) a general description of the lessor's significant leasing arrangements, including, for example, information about contingent rent, renewal or purchase options and escalation clauses, subleases and restrictions imposed by lease arrangements.
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Financial statements of lessors—operating leases

20.30	A lessor shall disclose the following for operating leases: (a) the future minimum lease payments under non-cancellable operating leases for each of the following periods: (i) not later than one year; (ii) later than one year and not later than five years; and (iii) later than five years. (b) total contingent rents recognised as income; and (c) a general description of the lessor's significant leasing arrangements, including, for example, information about contingent rent, renewal or purchase options and escalation clauses, and restrictions imposed by lease arrangements.
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20.31	In addition, the requirements for disclosure about assets in accordance with Sections 17, 18, 27 and 34 apply to lessors for assets provided under operating leases.
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Sale and leaseback transactions

20.35	Disclosure requirements for lessees and lessors apply equally to sale and leaseback transactions. The required description of significant leasing arrangements includes description of unique or unusual provisions of the agreement or terms of the sale and leaseback transactions.
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Section 21 *Provisions and Contingencies*

Disclosures about provisions

21.14	For each class of provision, an entity shall disclose all of the following: (a) a reconciliation showing (i) the carrying amount at the beginning and end of the period; (ii) additions during the period, including adjustments that result from changes in measuring the discounted amount; (iii) amounts charged against the provision during the period; and (iv) unused amounts reversed during the period. (b) a brief description of the nature of the obligation and the expected amount and timing of any resulting payments; (c) an indication of the uncertainties about the amount or timing of those outflows; and (d) the amount of any expected reimbursement, stating the amount of any asset that has been recognised for that expected reimbursement. Comparative information for prior periods is not required.
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Disclosures about contingent liabilities

21.15	Unless the possibility of any outflow of resources in settlement is remote, an entity shall disclose, for each class of contingent liability at the reporting date, a brief description of the nature of the contingent liability and, when practicable: (a) an estimate of its financial effect, measured in accordance with paragraphs 21.7–21.11; (b) an indication of the uncertainties relating to the amount or timing of any outflow; and (c) the possibility of any reimbursement. If it is impracticable to make one or more of these disclosures, that fact shall be stated.
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Disclosures about contingent assets

21.16	If an inflow of economic benefits is probable (more likely than not) but not virtually certain, an entity shall disclose a description of the nature of the contingent assets at the end of the reporting period and, unless it would involve undue cost or effort, an estimate of their financial effect, measured using the principles set out in paragraphs 21.7–21.11. If such an estimate would involve undue cost or effort, the entity shall disclose that fact and the reasons why estimating the financial effect would involve undue cost or effort.
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Prejudicial disclosures

21.17	In extremely rare cases, disclosure of some or all of the information required by paragraphs 21.14–21.16 can be expected to prejudice seriously the position of the entity in a dispute with other parties on the subject matter of the provision, contingent liability or contingent asset. In such cases, an entity need not disclose the information, but shall disclose the general nature of the dispute, together with the fact that, and reason why, the information has not been disclosed.
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Section 22 *Liabilities and Equity*

Disclosures

22.20	If the fair value of the assets to be distributed as described in paragraphs 22.18–22.18A cannot be measured reliably without undue cost or effort, the entity shall disclose that fact and the reasons why a reliable fair value measurement would involve undue cost or effort.
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Section 23 *Revenue*

General disclosures about revenue

23.30	An entity shall disclose: (a) the accounting policies adopted for the recognition of revenue, including the methods adopted to determine the stage of completion of transactions involving the rendering of services; and (b) the amount of each category of revenue recognised during the period, showing separately, at a minimum, revenue arising from: (i) the sale of goods; (ii) the rendering of services; (iii) interest; (iv) royalties; (v) dividends; (vi) commissions;
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	(vii) government grants; and (viii) any other significant types of revenue.
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Disclosures relating to revenue from construction contracts

23.31	An entity shall disclose the following: (a) the amount of contract revenue recognised as revenue in the period; (b) the methods used to determine the contract revenue recognised in the period; and (c) the methods used to determine the stage of completion of contracts in progress.
23.32	An entity shall present: (a) the gross amount due from customers for contract work, as an asset; and (b) the gross amount due to customers for contract work, as a liability.

Section 24 *Government Grants*

Disclosures

24.6	An entity shall disclose the following: (a) the nature and amounts of government grants recognised in the financial statements; (b) unfulfilled conditions and other contingencies attaching to government grants that have not been recognised in income; and (c) an indication of other forms of government assistance from which the entity has directly benefited.
24.7	For the purpose of the disclosure required by paragraph 24.6(c), government assistance is action by government designed to provide an economic benefit specific to an entity or range of entities qualifying under specified criteria. Examples include free technical or marketing advice, the provision of guarantees and loans at nil or low interest rates.

Section 25 *Borrowing Costs*

Disclosures

25.3	Paragraph 5.5(b) requires disclosure of finance costs. Paragraph 11.48(b) requires disclosure of total interest expense (using the effective interest method) for financial liabilities that are not at fair value through profit or loss. This section does not require any additional disclosure.
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Section 26 *Share-based Payment*

Disclosures

26.18	An entity shall disclose the following information about the nature and extent of share-based payment arrangements that existed during the period: (a) a description of each type of share-based payment arrangement that existed at any time during the period, including the general terms and conditions of each arrangement, such as vesting requirements, the maximum term of options granted, and the method of settlement (for example, whether in cash or equity). An entity with substantially similar types of share-based payment arrangements may aggregate this information. (b) the number and weighted average exercise prices of share options for each of the following groups of options: (i) outstanding at the beginning of the period; (ii) granted during the period; (iii) forfeited during the period; (iv) exercised during the period; (v) expired during the period; (vi) outstanding at the end of the period; and (vii) exercisable at the end of the period.
26.19	For equity-settled share-based payment arrangements, an entity shall disclose information about how it measured the fair value of goods or services received or the value of the equity instruments granted. If a valuation methodology was used, the entity shall disclose the method and its reason for choosing it.
26.20	For cash-settled share-based payment arrangements, an entity shall disclose information about how the liability was measured.
26.21	For share-based payment arrangements that were modified during the period, an entity shall disclose an explanation of those modifications.
26.22	If the entity is part of a group share-based payment plan, and it measures its share-based payment expense on the basis of a reasonable allocation of the expense recognised for the group, it shall disclose that fact and the basis for the allocation (see paragraph 26.16).
26.23	An entity shall disclose the following information about the effect of share-based payment transactions on the entity's profit or loss for the period and on its financial position: (a) the total expense recognised in profit or loss for the period; and (b) the total carrying amount at the end of the period for liabilities arising from share-based payment transactions.

Section 27 *Impairment of Assets*

Disclosures

27.32	An entity shall disclose the following for each class of assets indicated in paragraph 27.33: (a) the amount of impairment losses recognised in profit or loss during the period and the line item(s) in the statement of comprehensive income (and in the income statement, if presented) in which those impairment losses are included; and (b) the amount of reversals of impairment losses recognised in profit or loss during the period and the line item(s) in the statement of comprehensive income (and in the income statement, if presented) in which those impairment losses are reversed.
27.33	An entity shall disclose the information required by paragraph 27.32 for each of the following classes of asset: (a) inventories; (b) property, plant and equipment (including investment property accounted for by the cost method); (c) goodwill; (d) intangible assets other than goodwill; (e) investments in associates; and (f) investments in joint ventures.

Section 28 *Employee Benefits*

Disclosures about short-term employee benefits

28.39	This section does not require specific disclosures about short-term employee benefits.
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Disclosures about defined contribution plans

28.40	An entity shall disclose the amount recognised in profit or loss as an expense for defined contribution plans. If an entity treats a defined benefit multi-employer plan as a defined contribution plan because sufficient information is not available to use defined benefit accounting (see paragraph 28.11) it shall disclose the fact that it is a defined benefit plan and the reason why it is being accounted for as a defined contribution plan, along with any available information about the plan's surplus or deficit and the implications, if any, for the entity.
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Disclosures about defined benefit plans

28.41	An entity shall disclose the following information about defined benefit plans (except for any defined multi-employer benefit plans that are accounted for as a defined contribution plans in accordance with paragraph 28.11, for which the disclosures in paragraph 28.40 apply instead). If an entity has more than one defined benefit plan, these disclosures may be made in total, separately for each plan, or in such groupings as are considered to be the most useful: (a) a general description of the type of plan, including funding policy; (b) the entity's accounting policy for recognising actuarial gains and losses (either in profit or loss or as an item of other comprehensive income) and the amount of actuarial gains and losses recognised during the period; (c) if the entity uses any of the simplifications in paragraph 28.19 in measuring its defined benefit obligation, it shall disclose that fact and the reasons why using the projected unit credit method to measure its obligation and cost under defined benefit plans would involve undue cost or effort; (d) the date of the most recent comprehensive actuarial valuation and, if it was not as of the reporting date, a description of the adjustments that were made to measure the defined benefit obligation at the reporting date; (e) a reconciliation of opening and closing balances of the defined benefit obligation showing separately benefits paid and all other changes; (f) a reconciliation of the opening and closing balances of the fair value of plan assets and of the opening and closing balances of any reimbursement right recognised as an asset, showing separately, if applicable: (i) contributions; (ii) benefits paid; and (iii) other changes in plan assets. (g) the total cost relating to defined benefit plans for the period, disclosing separately the amounts: (i) recognised in profit or loss as an expense, and (ii) included in the cost of an asset. (h) for each major class of plan assets, which shall include, but is not limited to, equity instruments, debt instruments, property, and all other assets, the percentage or amount that each major class constitutes of the fair value of the total plan assets at the reporting date; (i) the amounts included in the fair value of plan assets for: (i) each class of the entity's own financial instruments; and (ii) any property occupied by, or other assets used by, the entity. (j) the actual return on plan assets; and
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	(k) the principal actuarial assumptions used, including, when applicable: (i) the discount rates; (ii) the expected rates of return on any plan assets for the periods presented in the financial statements; (iii) the expected rates of salary increases; (iv) medical cost trend rates; and (v) any other material actuarial assumptions used. The reconciliations in (e) and (f) need not be presented for prior periods. A subsidiary that recognises and measures employee benefit expense on the basis of a reasonable allocation of the expense recognised for the group (see paragraph 28.38) shall, in its separate financial statements, describe its policy for making the allocation and shall make the disclosures in (a)—(k) for the plan as a whole.
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Disclosures about other long-term benefits

28.42	For each category of other long-term benefits that an entity provides to its employees, the entity shall disclose the nature of the benefit, the amount of its obligation and the extent of funding at the reporting date.
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Disclosures about termination benefits

28.43	For each category of termination benefits that an entity provides to its employees, the entity shall disclose the nature of the benefit, the amount of its obligation and the extent of funding at the reporting date.
28.44	When there is uncertainty about the number of employees who will accept an offer of termination benefits, a contingent liability exists. Section 21 <i>Provisions and Contingencies</i> requires an entity to disclose information about its contingent liabilities unless the possibility of an outflow in settlement is remote.

Section 29 *Income Tax*

Current and non-current

29.36	When an entity presents current and non-current assets, and current and non-current liabilities, as separate classifications in its statement of financial position, it shall not classify any deferred tax assets (liabilities) as current assets (liabilities).
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Offsetting

29.37	An entity shall offset current tax assets and current tax liabilities, or offset deferred tax assets and deferred tax liabilities, if, and only if, it has a legally enforceable right to set off the amounts and the entity can demonstrate without undue cost or effort that it plans either to settle on a net basis or to realise the asset and settle the liability simultaneously.
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Disclosures

29.38	An entity shall disclose information that enables users of its financial statements to evaluate the nature and financial effect of the current and deferred tax consequences of recognised transactions and other events.
29.39	An entity shall disclose separately the major components of tax expense (income). Such components of tax expense (income) may include: (a) current tax expense (income); (b) any adjustments recognised in the period for current tax of prior periods; (c) the amount of deferred tax expense (income) relating to the origination and reversal of temporary differences; (d) the amount of deferred tax expense (income) relating to changes in tax rates or the imposition of new taxes; (e) the amount of the benefit arising from a previously unrecognised tax loss, tax credit or temporary difference of a prior period that is used to reduce tax expense; (f) adjustments to deferred tax expense (income) arising from a change in the tax status of the entity or its shareholders; (g) deferred tax expense (income) arising from the write-down, or reversal of a previous write-down, of a deferred tax asset in accordance with paragraph 29.31; and (h) the amount of tax expense (income) relating to those changes in accounting policies and errors that are included in profit or loss in accordance with Section 10 <i>Accounting Policies, Estimates and Errors</i>, because they cannot be accounted for retrospectively.
29.40	An entity shall disclose the following separately: (a) the aggregate current and deferred tax relating to items that are recognised as items of other comprehensive income. (b) the aggregate current and deferred tax relating to items that are charged or credited directly to equity. (c) an explanation of any significant differences between the tax expense (income) and accounting profit multiplied by the applicable tax rate. For example such differences may arise from transactions such as revenue that are exempt from taxation or expenses that are not deductible in determining taxable profit (tax loss). (d) an explanation of changes in the applicable tax rate(s) compared with the previous reporting period. (e) for each type of temporary difference and for each type of unused tax losses and tax credits: (i) the amount of deferred tax liabilities and deferred tax assets at the end of the reporting period; and

	(ii) an analysis of the change in deferred tax liabilities and deferred tax assets during the period. (f) the amount (and expiry date, if any) of deductible temporary differences, unused tax losses and unused tax credits for which no deferred tax asset is recognised in the statement of financial position. (g) in the circumstances described in paragraph 29.33, an explanation of the nature of the potential income tax consequences that would result from the payment of dividends to its shareholders.
29.41	If an entity does not offset tax assets and liabilities in accordance with paragraph 29.37 because it is unable to demonstrate without undue cost or effort that it plans to settle them on a net basis or realise them simultaneously, the entity shall disclose the amounts that have not been offset and the reasons why applying the requirement would involve undue cost or effort.

Section 30 *Foreign Currency Translation*

Disclosures

30.24	In paragraphs 30.26 and 30.27, references to 'functional currency' apply, in the case of a group, to the functional currency of the parent.
30.25	An entity shall disclose the following: (a) the amount of exchange differences recognised in profit or loss during the period, except for those arising on financial instruments measured at fair value through profit or loss in accordance with Section 11 <i>Basic Financial Instruments</i> and Section 12 <i>Other Financial Instrument Issues</i>; and (b) the amount of exchange differences arising during the period and classified in a separate component of equity at the end of the period.
30.26	An entity shall disclose the currency in which the financial statements are presented. When the presentation currency is different from the functional currency, an entity shall state that fact and shall disclose the functional currency and the reason for using a different presentation currency.
30.27	When there is a change in the functional currency of either the reporting entity or a significant foreign operation, the entity shall disclose that fact and the reason for the change in functional currency.

Section 31 *Hyperinflation*

Disclosures

31.15	An entity to which this section applies shall disclose the following: (a) the fact that financial statements and other prior period data have been restated for changes in the general purchasing power of the functional currency;
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	(b) the identity and level of the price index at the reporting date and changes during the current reporting period and the previous reporting period; and
	(c) amount of gain or loss on monetary items.

Section 32 *Events after the End of the Reporting Period*

Date of authorisation for issue

32.9	An entity shall disclose the date when the financial statements were authorised for issue and who gave that authorisation. If the entity's owners or others have the power to amend the financial statements after issue, the entity shall disclose that fact.
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Non-adjusting events after the end of the reporting period

32.10	An entity shall disclose the following for each category of non-adjusting event after the end of the reporting period: (a) the nature of the event; and (b) an estimate of its financial effect or a statement that such an estimate cannot be made.
32.11	The following are examples of non-adjusting events after the end of the reporting period that would generally result in disclosure; the disclosures will reflect information that becomes known after the end of the reporting period but before the financial statements are authorised for issue: (a) a major business combination or disposal of a major subsidiary; (b) announcement of a plan to discontinue an operation; (c) major purchases of assets, disposals or plans to dispose of assets, or expropriation of major assets by government; (d) the destruction of a major production plant by a fire; (e) announcement, or commencement of the implementation, of a major restructuring; (f) issues or repurchases of an entity's debt or equity instruments; (g) abnormally large changes in asset prices or foreign exchange rates; (h) changes in tax rates or tax laws enacted or announced that have a significant effect on current and deferred tax assets and liabilities; (i) entering into significant commitments or contingent liabilities, for example, by issuing significant guarantees; and (j) commencement of major litigation arising solely out of events that occurred after the end of the reporting period.

Section 33 *Related Party Disclosures*

Disclosure of parent-subsidary relationships

33.5	Relationships between a parent and its subsidiaries shall be disclosed irrespective of whether there have been related party transactions. An entity shall disclose the name of its parent and, if different, the ultimate controlling party. If neither the entity's parent nor the ultimate controlling party produces financial statements available for public use, the name of the next most senior parent that does so (if any) shall also be disclosed.
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Disclosure of key management personnel compensation

33.7	An entity shall disclose key management personnel compensation in total.
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Disclosure of related party transactions

33.8	A related party transaction is a transfer of resources, services or obligations between a reporting entity and a related party, regardless of whether a price is charged. Examples of related party transactions that are common to small entities include, but are not limited to: (a) transactions between an entity and its principal owner(s); (b) transactions between an entity and another entity when both entities are under the common control of a single entity or person; and (c) transactions in which an entity or person that controls the reporting entity incurs expenses directly that otherwise would have been borne by the reporting entity.
33.9	If an entity has related party transactions, it shall disclose the nature of the related party relationship as well as information about the transactions, outstanding balances and commitments necessary for an understanding of the potential effect of the relationship on the financial statements. Those disclosure requirements are in addition to the requirements in paragraph 33.7 to disclose key management personnel compensation. At a minimum, disclosures shall include: (a) the amount of the transactions; (b) the amount of outstanding balances and: (i) their terms and conditions, including whether they are secured, and the nature of the consideration to be provided in settlement; and (ii) details of any guarantees given or received. (c) provisions for uncollectible receivables related to the amount of outstanding balances; and (d) the expense recognised during the period in respect of bad or doubtful debts due from related parties. Such transactions could include purchases, sales, or transfers of goods or services; leases; guarantees; and settlements by the entity on behalf of the related party or vice versa.

SFRS for Small Entities - Illustrative Financial Statements, Table of Presentation
and Disclosure Requirements

33.10	An entity shall make the disclosures required by paragraph 33.9 separately for each of the following categories: (a) entities with control, joint control or significant influence over the entity; (b) entities over which the entity has control, joint control or significant influence; (c) key management personnel of the entity or its parent (in the aggregate); and (d) other related parties.
33.11	An entity is exempt from the disclosure requirements of paragraph 33.9 in relation to: (a) a state (a national, regional or local government) that has control, joint control or significant influence over the reporting entity; and (b) another entity that is a related party because the same state has control, joint control or significant influence over both the reporting entity and the other entity. However, the entity must still disclose a parent-subsidiary relationship as required by paragraph 33.5.
33.12	The following are examples of transactions that shall be disclosed if they are with a related party: (a) purchases or sales of goods (finished or unfinished); (b) purchases or sales of property and other assets; (c) rendering or receiving of services; (d) leases; (e) transfers of research and development; (f) transfers under licence agreements; (g) transfers under finance arrangements (including loans and equity contributions in cash or in kind); (h) provision of guarantees or collateral; (i) settlement of liabilities on behalf of the entity or by the entity on behalf of another party; and (j) participation by a parent or subsidiary in a defined benefit plan that shares risks between group entities.
33.13	An entity shall not state that related party transactions were made on terms equivalent to those that prevail in arm's length transactions unless such terms can be substantiated.
33.14	An entity may disclose items of a similar nature in the aggregate except when separate disclosure is necessary for an understanding of the effects of related party transactions on the financial statements of the entity.

Section 34 *Specialised Activities*

Agriculture disclosures—fair value model

34.7	An entity shall disclose the following with respect to its biological assets measured at fair value: (a) a description of each class of its biological assets. (b) the methods and significant assumptions applied in determining the fair value of each class of agricultural produce at the point of harvest and each class of biological assets. (c) a reconciliation of changes in the carrying amount of biological assets between the beginning and the end of the current period. The reconciliation shall include: (i) the gain or loss arising from changes in fair value less costs to sell; (ii) increases resulting from purchases; (iii) decreases resulting from harvest; (iv) increases resulting from business combinations; (v) net exchange differences arising on the translation of financial statements into a different presentation currency, and on the translation of a foreign operation into the presentation currency of the reporting entity; and (vi) other changes. This reconciliation need not be presented for prior periods.
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Agriculture disclosures—cost model

34.10	An entity shall disclose the following with respect to its biological assets measured using the cost model: (a) a description of each class of its biological assets; (b) an explanation of why fair value cannot be measured reliably without undue cost or effort; (c) the depreciation method used; (d) the useful lives or the depreciation rates used; and (e) the gross carrying amount and the accumulated depreciation (aggregated with accumulated impairment losses) at the beginning and end of the period.
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Exploration for and evaluation of mineral resources

34.11C	Exploration and evaluation assets shall be assessed for impairment when facts and circumstances suggest that the carrying amount of an exploration and evaluation asset may exceed its recoverable amount. An entity shall measure, present and disclose any resulting impairment loss in accordance with Section 27 <i>Impairment of Assets</i> , except as provided by paragraph 34.11F.
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Service concession arrangements—operating revenue

34.16	The operator of a service concession arrangement shall recognise, measure and disclose revenue in accordance with Section 23 <i>Revenue</i> for the services it performs.
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Section 35 *Transition to the SFRS for Small Entities*

Scope of this section

35.2	An entity that has applied <i>SFRS for Small Entities</i> in a previous reporting period, but whose most recent previous annual financial statements did not contain an explicit and unreserved statement of compliance with the <i>SFRS for Small Entities</i> , must either apply this section or apply the <i>SFRS for Small Entities</i> retrospectively in accordance with Section 10 <i>Accounting Policies, Estimates and Errors</i> as if the entity had never stopped applying the <i>SFRS for Small Entities</i> . When such an entity does not elect to apply this section, it is still required to apply the disclosure requirements in paragraph 35.12A in addition to the disclosure requirements in Section 10.
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Procedures for preparing financial statements at the date of transition

35.11	If it is impracticable for an entity to make one or more of the adjustments required by paragraph 35.7 at the date of transition, the entity shall apply paragraphs 35.7–35.10 for such adjustments in the earliest period for which it is practicable to do so, and shall identify which amounts in the financial statements have not been restated. If it is impracticable for an entity to provide any of the disclosures required by this SFRS, including those for comparative periods, the omission shall be disclosed.
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Explanation of transition to the *SFRS for Small Entities*

35.12	An entity shall explain how the transition from its previous financial reporting framework to this SFRS affected its reported financial position, financial performance and cash flows.
35.12A	An entity that has applied the <i>SFRS for Small Entities</i> in a previous period, as described in paragraph 35.2, shall disclose: (a) the reason it stopped applying the <i>SFRS for Small Entities</i>; (b) the reason it is resuming the application of the <i>SFRS for Small Entities</i>; and (c) whether it has applied this section or has applied the <i>SFRS for Small Entities</i> retrospectively in accordance with Section 10.

Reconciliations

35.13	To comply with paragraph 35.12, an entity's first financial statements prepared using this SFRS shall include: (a) a description of the nature of each change in accounting policy; (b) reconciliations of its equity determined in accordance with its previous financial reporting framework to its equity determined in accordance with this SFRS for both of the following dates: (i) the date of transition to this SFRS; and (ii) the end of the latest period presented in the entity's most recent annual financial statements determined in accordance with its previous financial reporting framework. (c) a reconciliation of the profit or loss determined in accordance with its previous financial reporting framework for the latest period in the entity's most recent annual financial statements to its profit or loss determined in accordance with this SFRS for the same period.
35.14	If an entity becomes aware of errors made under its previous financial reporting framework, the reconciliations required by paragraph 35.13(b) and (c) shall, to the extent practicable, distinguish the correction of those errors from changes in accounting policies.
35.15	If an entity did not present financial statements for previous periods, it shall disclose that fact in its first financial statements that conform to this SFRS.

Effective date and transition

A1	Earlier application of 2015 <i>Amendments to the SFRS for Small Entities</i> is permitted. If an entity applies 2015 <i>Amendments to the SFRS for Small Entities</i> for an earlier period it shall disclose that fact.
A3	The entity shall identify which amounts in the financial statements have not been restated as a result of applying paragraph A2.